Superstore Plus Kenya - Discount Story

THE ILLUSION OF VOLUME

The Discount Cliff: Are Discounts really Profitable?

Net Sales
KES 668.1M

Net Profit
KES 129.0M

Net Margin
19.31%

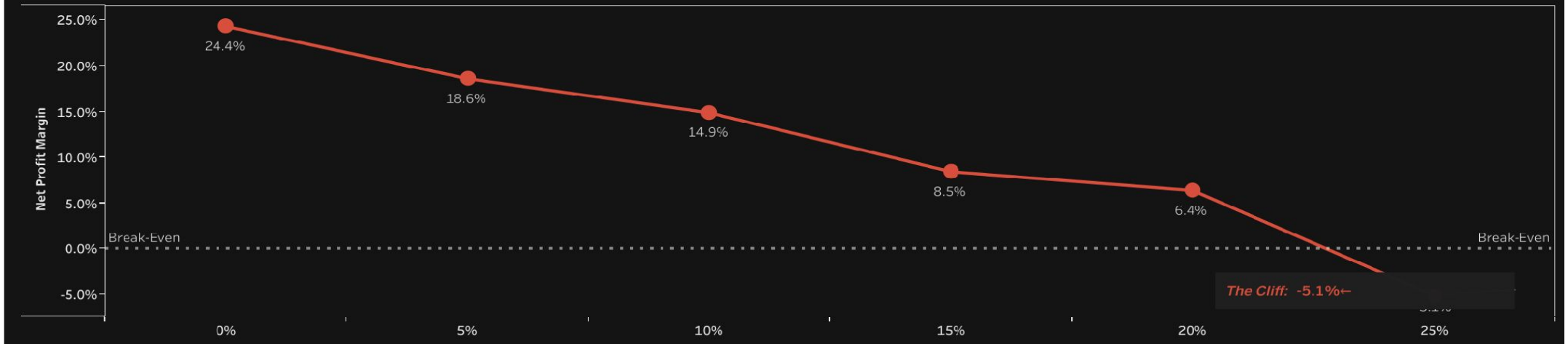
On paper, a healthy business. But costs don't fall when prices do. So what happens to that margin as discounts deepen?

FOLLOW THE DISCOUNT →

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FALLING OFF THE DISCOUNT CLIFF

At 25% off, net margin plunges to –5.1%—the business is now paying customers to shop.



A Good Example: Nuru Solar Charging Kit Standard, discounted 25%

Gross Sales	After 25% Off	COGS	Net Profit
KES 82,750	KES 62,063	KES 65,882	-KES 3,819

The customer got the deal. But did the business?

WHICH PRODUCTS FALL FIRST →

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TECHNOLOGY HITS THE CLIFF FIRST

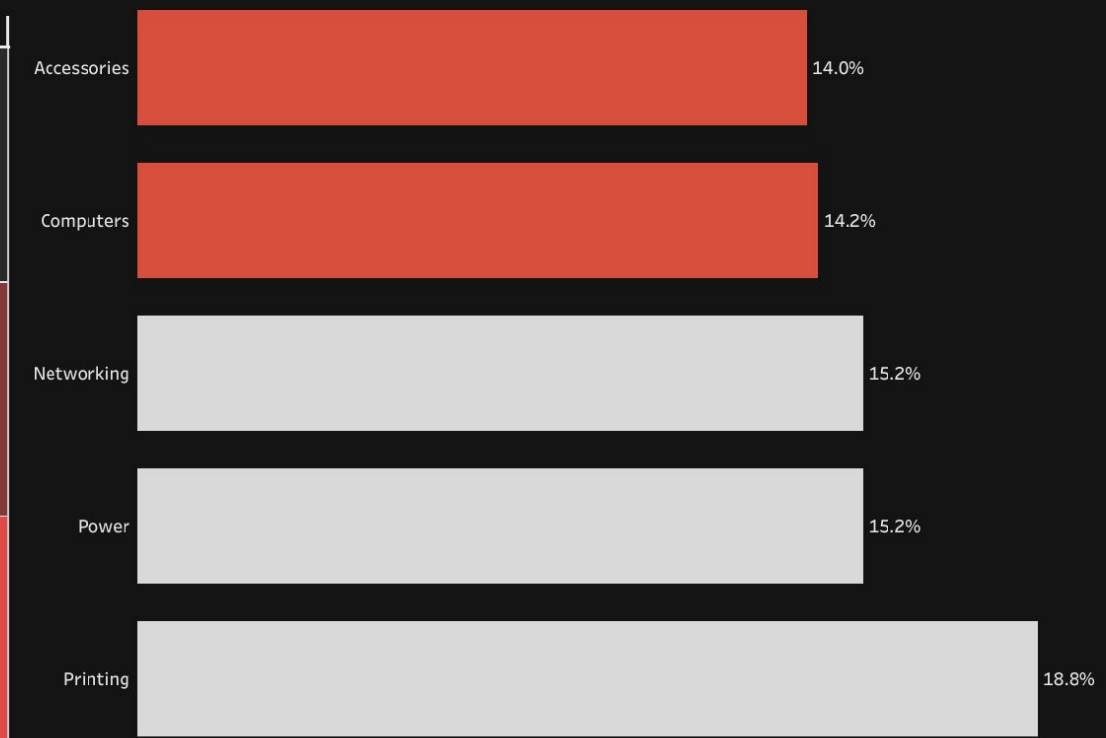
FROM 6.3% TO 56.9%: TECHNOLOGY LINES THAT LOSE MONEY

Share of transaction lines losing money, by category and discount. The plunge starts at 20% off: 17.3% of Technology lines lose money, vs 10.3% in Office Supplies and 3.5% in Furniture. At 25% off, it's 56.9%.

Category	0%	5%	10%	15%	20%	25%
Furniture	4.5%	6.3%	6.5%	6.0%	3.5%	5.5%
Office Supplies	6.1%	8.4%	6.6%	8.9%	10.3%	28.3%
Technology	6.3%	7.0%	8.1%	7.2%	17.3%	56.9%

WHY? TECHNOLOGY STARTS WITH THE LEAST CUSHION

At full price, Accessories earn 14.0% and Computers 14.2%. The whole store earns 24.4%. Every Technology subcategory here starts below 19%.

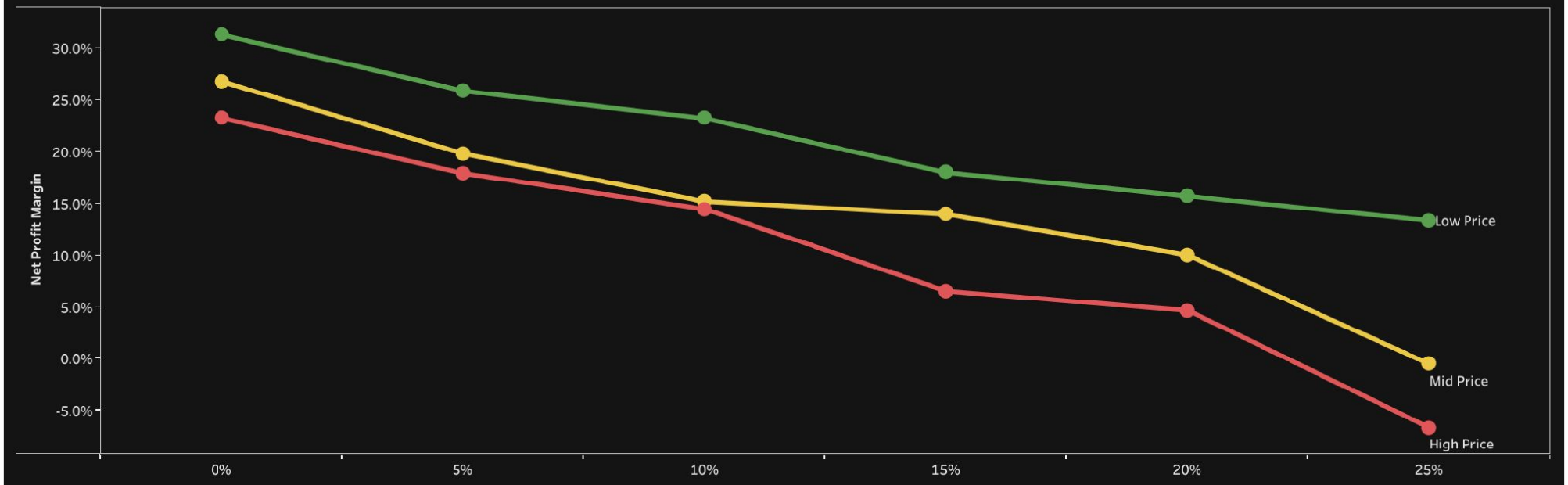


WHAT ELSE PREDICTS THE FALL? →

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THE PRICE TAG SETS THE DEPTH OF THE FALL

At 25% off, high-price items lose money, mid-price items barely break even, and low-price items still earn about 13%.



High-price items start with the thinnest margin (23.3%) and fall the furthest. Past 20% off, they cross into loss.

RECOMMENDATION: DON'T BAN DISCOUNTS. MANAGE THEM.

Cap high-price items and Technology at 15%, before the cliff begins. Past 20% off, losses spread fast.